

25STCV11648 25STCV11648

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Case Number: 25STCV11648 Hearing Date: August 11, 2026 Dept: 310

Tentative Ruling

Judge Kevin C. Brazile

Department 310

Hearing Date: August 11, 2026

Case Name: Wells Fargo Bank, NA v. RJG Consultants, Inc., et al.

Case No.: 25STCV11648

Matter: Motion for Summary Adjudication

Moving Party: Plaintiff Wells Fargo Bank, NA

Responding Party: Defendants RJG Consultants, Inc. and Richard Gagnon

Notice: OK

Ruling: The Motion for Summary Adjudication is granted.

Moving party to give notice.

The Court encourages all parties to appear remotely via LA CourtConnect. If submitting on the Court's tentative ruling, please follow the instructions provided above.

This action arises from a commercial credit agreement and related personal guarantees. Plaintiff Wells Fargo Bank, N.A. extended a commercial line of credit to Defendant RJG Consultants, Inc. ("RJG"). To secure the line of credit, Defendant

Richard J. Gagnon executed personal guarantees, promising to pay all amounts owed by RJG in the event of default.

Plaintiff alleges that RJG defaulted on the agreement by failing to make required monthly payments. Following the default, Plaintiff charged off the account for internal accounting purposes and demanded full payment of the outstanding principal balance, accrued interest, and fees from both RJG and Gagnon. When payment was not tendered, Plaintiff filed this action alleging causes of action for breach of contract, account stated, and breach of guaranty.

Plaintiff now moves for summary adjudication on the First (Breach of Contract - Line of Credit), Second (Account Stated - Line of Credit), Fourth (Breach of Guaranty - Line of Credit), Fifth (Breach of Contract - Credit Card), Sixth (Account Stated - Credit Card), and Eighth (Breach of Guaranty - Credit Card) Causes of Action.

Defendants' opposition contends that Plaintiff failed to produce a complete transactional ledger, that post-default account statements displaying a \$0.00 balance create a triable issue of fact, and that Defendant Gagnon lacks recollection of executing the personal guarantees.

The law of summary judgment provides courts "a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) In reviewing a motion for summary judgment or adjudication, courts employ a three-step analysis: "(1) identify the issues framed by the pleadings; (2) determine whether the moving party has negated the opponent's claims; and (3) determine whether the opposition has demonstrated the existence of a triable, material factual issue." (Hinesley v. Oakshade Town Center (2005) 135 Cal.App.4th 289, 294.) The moving party bears the initial burden of production to make a prima facie showing of the nonexistence of any triable issue, in which case the burden shifts to the opposing party to make a prima facie showing of the existence of a triable issue. (Code Civ. Proc. § 437c(p)(2).) To show a triable issue of material fact exists, the opposing party may not rely on the mere allegations or denials of the pleadings, but instead must set forth the specific facts showing that a triable issue exists as to that cause of action or a defense thereto. (Aguilar, at p. 849.) Courts "liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party." (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.)

1. First & Fifth Causes of Action: Breach of Contract

In order to make out a cause of action for breach of contract, the complaint must allege: (a) the existence of a contract; (b) plaintiff's performance or excuse for non-performance; (c) defendant's breach; and (d) damages to plaintiff. (First Coml. Mortgage v. Reece (2001) 89 Cal.App.4th 731, 745.) Moreover, "[t]he essential elements of a contract are: parties capable of contracting; the parties' consent; a lawful object; and sufficient cause or consideration." (Lopez v. Charles Schwab & Co. (2004) 118 Cal.App.4th 1224, 1229–30.)

Plaintiff met its initial burden by submitting the declaration of Anita Flannery-Brice, Lead Loan Workout Specialist and Vice President for Wells Fargo, establishing a sufficient evidentiary foundation as a custodian of records under Evidence Code § 1271. The authenticated business records—including credit applications, customer agreements, and charge-off statements—establish the execution of the agreements, performance by Plaintiff through the extension of credit, breach by RJG via nonpayment, and resulting monetary damages.

Under Evidence Code § 1521, secondary evidence is admissible to prove the contents of a writing. A creditor is not required to produce a line-by-line historical transaction ledger from inception to establish a breach and the balance due on a commercial account where authenticated billing statements are provided. Defendants' reliance on Remington Investments, Inc. v. Hamedani (1997) 55 Cal.App.4th 1033 is inapposite; unlike Remington, where an assignee failed to authenticate an originating lender's records, Plaintiff here is the original creditor authenticating its own records through its authorized custodian.

Defendants contend that final account statements reflecting a \$0.00 "New Balance" raise a triable issue of fact as to whether the debt remains due. This argument fails as a matter of law. A debt charge-off is an internal accounting entry mandated by

banking regulations to declare an account delinquent. It does not constitute a discharge or forgiveness of the underlying obligation.

Because Plaintiff satisfied its initial burden, the burden shifted to Defendants to present competent, admissible evidence—such as receipts, canceled checks, or bank records showing uncredited payments—demonstrating a different balance due. Defendants' general assertions of confusion and requests for an accounting do not constitute substantial responsive evidence sufficient to defeat summary adjudication.

2. Second & Sixth Causes of Action: Account Stated

"An account stated is an agreement, based on prior transactions between the parties, that the items of an account are true and that the balance struck is due and owing. [Citation.] To be an account stated, 'it must appear that at the time of the statement an indebtedness from one party to the other existed, that a balance was then struck and agreed to be the correct sum owing from the debtor to the creditor, and that the debtor expressly or impliedly promised to pay to the creditor the amount thus determined to be owing.' [Citation.]" (Maggio, Inc. v. Neal (1987) 196 Cal.App.3d 745, 752.)

"The essential elements of an account stated are: (1) previous transactions between the parties establishing the relationship of debtor and creditor; (2) an agreement between the parties, express or implied, on the amount due from the debtor to the creditor; (3) a promise by the debtor, express or implied, to pay the amount due. [Citations.]" (Zinn v. Fred R. Bright Co. (1969) 271 Cal.App.2d 597, 600.)

Plaintiff established that regular account statements itemizing transactions and detailing the total balance due were delivered to RJG. Defendants failed to present competent evidence showing a timely, specific objection to the itemized balances prior to default, thereby giving rise to an implied agreement as to the correctness of the account balance.

3. Fourth & Eighth Causes of Action: Breach of Guaranty

To enforce a personal guaranty, a creditor must prove the execution of the guaranty by the guarantor, default by the primary debtor, and nonpayment by the guarantor.

Plaintiff submitted authenticated copies of the personal guarantees executed by Defendant Gagnon. In opposition, Gagnon submits a declaration stating he "does not recall" signing the guarantees. Under California law, a party's assertion that they do not remember signing a contract does not create a triable issue of fact regarding authenticity or execution (Iyere v. Wise Auto Grp. (2023) 87 Cal.App.5th 747, 757–758). Because Gagnon does not affirmatively allege or present evidence that his signature was forged or unauthorized, his lack of memory is legally insufficient to defeat summary adjudication.

4. Damages, etc.

Line of Credit Damages (1st, 2nd, and 4th Causes of Action):

Judgment is established against Defendants RJG Consultants, Inc. and Richard J. Gagnon, jointly and severally, in the total sum of \$71,838.71.

Credit Card Damages (5th, 6th, and 8th Causes of Action):

Judgment is established against Defendants RJG Consultants, Inc. and Richard J. Gagnon, jointly and severally, in the total sum of \$36,831.07.

Attorney Fees & Costs:

Plaintiff's claim for attorney fees and costs is deferred, to be determined by noticed motion and/or a timely filed memorandum of costs.

In sum, the Motion for Summary Adjudication is granted. The objections are overruled.

Moving party to give notice.